

CAPITAL GEARING

Concept • Types • Classification • Procedure • Practical Problem • Revision

1. Meaning

Capital Gearing means the **relationship between fixed-cost-bearing capital and equity/variable-cost-bearing capital in the capital structure of a company.**

FORMULA

$$\text{Capital Gearing Ratio} = \text{Fixed Cost Bearing Capital} / \text{Variable Cost Bearing Capital}$$

2. Definitions

J. Batty

According to J. Batty:

"The relation of ordinary share to preference share capital and loan capital is described as the Capital gearing."

Brown and Howard

According to Brown and Howard:

"The term capital gearing is used to describe the ratio between the ordinary share capital and interest bearing securities of a company."

3. Types of Capital Gearing

A. HIGH GEARED CAPITAL

A company is high geared when fixed-cost-bearing capital is greater than variable-cost-bearing capital.

$$\text{Fixed Cost Capital} > \text{Variable Cost Capital}$$

Therefore:

$$\text{Capital Gearing Ratio} > 1$$

Effect

- Higher fixed financial charges
- Higher financial risk
- Greater possibility of trading on equity

B. LOW GEARED CAPITAL

A company is low geared when variable-cost-bearing capital is greater than fixed-cost-bearing capital.

$$\text{Fixed Cost Capital} < \text{Variable Cost Capital}$$

Therefore:

$$\text{Capital Gearing Ratio} < 1$$

Effect

- Lower fixed financial charges
- Lower financial risk
- Greater dependence on equity

Interpretation Snapshot

Ratio > 1 → High Geared

Ratio < 1 → Low Geared

Ratio $= 1$ → Evenly Geared

4. Classification of Capital

For calculating Capital Gearing, divide capital into two main groups:

A. Fixed Cost Bearing Capital

These funds carry a fixed interest or dividend obligation.

Includes:

- Preference Share Capital
- Debentures
- Long-term Loans
- Other interest-bearing long-term borrowings

B. Variable Cost Bearing Capital

The return on these funds is not fixed.

Includes:

- Equity Share Capital
- Reserves and Surplus
- Retained Earnings

Standard capital-gearing calculations normally combine equity capital and reserves/surplus as equity shareholders' funds.

C. No Fixed-Cost Capital

Sometimes, for classroom understanding, reserves and retained profits may be described as having no explicit fixed interest/dividend commitment.

However, while calculating capital gearing, they are normally added to equity shareholders' funds / variable-cost-bearing capital, rather than treated as a separate denominator.

5. Procedure for Calculating Capital Gearing

STEP 1

Find Fixed Cost Bearing Capital

- Preference Share Capital
- Debentures
- Long-term Interest-bearing Loans

STEP 2

Find Variable Cost Bearing Capital

- Equity Share Capital
- Reserves & Surplus
- Retained Earnings

STEP 3

Apply Formula

- Capital Gearing Ratio
- = Fixed Cost Bearing Capital / Variable Cost Bearing Capital

STEP 4

Interpret

- Ratio > 1 → High Geared
- Ratio < 1 → Low Geared
- Ratio = 1 → Evenly Geared

6. Practical Problem

The following is the capital structure of ABC Ltd.

Particulars	Amount
Equity Share Capital	₹5,00,000
General Reserve	₹1,00,000
10% Preference Share Capital	₹3,00,000
12% Debentures	₹2,00,000
Long-term Loan	₹1,00,000

Calculate the Capital Gearing Ratio and state whether the company is high geared or low geared.

Solution

Step 1: Fixed Cost Bearing Capital

Preference Capital = ₹3,00,000

Debentures = ₹2,00,000

Long-term Loan = ₹1,00,000

Fixed Cost Bearing Capital

= ₹3,00,000 + ₹2,00,000 + ₹1,00,000

= ₹6,00,000

Step 2: Variable Cost Bearing Capital

Equity Share Capital = ₹5,00,000

General Reserve = ₹1,00,000

Variable Cost Bearing Capital

= ₹5,00,000 + ₹1,00,000

= ₹6,00,000

STEP 3: CAPITAL GEARING RATIO

$$\text{CGR} = ₹6,00,000 / ₹6,00,000 = 1 : 1$$

Conclusion

Since fixed-cost-bearing capital and variable-cost-bearing capital are equal:
ABC Ltd. is EVENLY GEARED.

7. Quick Revision

Capital Gearing

Relationship between Fixed Cost Capital and Equity Funds

Fixed Cost Capital

Preference Shares + Debentures + Long-term Loans

Variable Cost Capital

Equity + Reserves + Retained Earnings

High Gearing

Fixed Cost Capital > Variable Cost Capital

Low Gearing

Fixed Cost Capital < Variable Cost Capital

Even Gearing

Fixed Cost Capital = Variable Cost Capital

FINAL FORMULA TO REMEMBER

Capital Gearing Ratio = Fixed Cost Bearing Capital / Variable Cost Bearing Capital

ONE-GLANCE FLOW

Fixed Cost Bearing Capital	÷	Variable Cost Bearing Capital
Preference + Debentures + Loans	=	Equity + Reserves + Retained Earnings
Compare the Ratio	→	High / Low / Even Gearing